Solution

Dr. Profit and loss appropriation account for the year ended 31st December 2018 Cr.

Particulars	₹	₹	Particulars	₹
To Interest on capital A/c:			By Profit and loss A/c	3,00,000
Richard (3,00,000 x 6%)	18,000			
Rizwan (2,00,000 x 6%)	12,000	30,000		
To Salary to Rizwan		50,000		
To Commission to Richard		20,000		
To Partners' capital A/c (profit)				
Richard (3/5)	1,20,000			
Rizwan (2/5)	80,000	**2,00,000**		
		3,00,000		3,00,000

Note:

Calculation of commission:

Profit before commission = 3,00,000 – (50,000+30,000) = ₹ 2,20,000

$$\text{Commission} = \text{Net profit before commission} \times \frac{\text{Rate of commission}}{(100 + \text{Rate of commission})}$$

$$\text{Commission} = 2,20,000 \times \frac{10}{110} = ₹\ 20,000$$



Limited Liability Partnership (LLP)

Limited Liability Partnership (LLP) is a type of partnership in which the liability of the partners is limited to the extent of their capital contribution. It is a legal entity separate from that of its partners. It is formed as per the provisions of The Limited Liability Partnership Act, 2008. It has perpetual succession. Any change in the partners of LLP shall not affect the existence, rights or liabilities of LLP. Provisions of the Partnership Act, 1932 will not apply to a Limited Liability Partnership. An individual or a body corporate can become a partner. Partners are not personally liable for the obligations of the partnership unless the obligations arise due to their own wrongful acts or omissions.

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